well. But he is not the same as me. What he learned was not to become me. He became something else. He became him.

3. Trade Within Your Comfort Zone

If a position is too large, the trader will be prone to exit good trades on inconsequential corrections because fear will dominate the decision process. As Clark advises, you have to “trade within your emotional capacity.” Similarly, Vidich warns, “Limit your size in any position so that fear does not become the prevailing instinct guiding your judgment.” In this sense, a smaller net exposure may actually yield better returns, *even if the market ultimately moves in the favorable direction*. For example, Taylor came into 2008 with a large net long exposure in high beta stocks in an increasingly risky market. Uncomfortable with the level of his exposure, Taylor sharply reduced his positions in early January. When the market subsequently plunged later in the month, he was well positioned to increase his long exposure. Had Taylor remained heavily net long, he might instead have been forced to sell into the market weakness to reduce risk, thereby missing out in fully participating in the subsequent rebound.

4. Flexibility Is an Essential Quality for Trading Success

Highly skilled traders will not only liquidate their positions if they believe they made a mistake, but will actually reverse those positions. In April 2009, O’Shea was pessimistic about the financial outlook, but the market behavior was telling him that he was wrong. He formulated an alternative hypothesis that seemed to fit the price action—that is, the markets were seeing the beginning of an Asia-led economic recovery. Staying with his original market expectation would have been costly, as both equity and commodity markets embarked on a multiyear rally. O’Shea’s flexibility in